

Here, CII represents the Cost Inflation Index, as studied earlier. This formula results in inflating the purchase price and brings it at par with the current year so that the capital gain is more realistic and adjusted for inflation.

The revised formula for calculating long-term capital gains is hence derived from this updated indexed Cost of Acquisition rather than the purchase price and is as depicted in Formula 5.

Also, in case of a house, you can add the cost of any improvements (incurred during your ownership of the house) in the cost price of the house. Again, this cost can be indexed (and therefore, increased!).

Formula 5

$$\text{LTCG} = \text{Sale Price} - \text{Indexed Cost of Acquisition}$$

If your total income including the STCG or LTCG is less than the taxable threshold, you would not have to pay any STCG/LTCG tax.

If your total income excluding STCG/LTCG (A) is less than the taxable threshold, but the total income including the STCG/LTCG (B) is more than the taxable threshold, you would only have to pay STCG/LTCG tax on the excess amount (B - taxable threshold).

Note that capital gains are taxed slightly differently from your tax on salary income. The same holds true for other types of taxes but a rudimentary understanding of these two taxes (Income Tax and Capital Gains Tax) is a pre-requisite to getting started on your investments, understanding the impact of optimum time period to withdraw your investments, and also calculating the correct returns on investments (RoI). It is also important to look at the last column of Fig 2.6 i.e. 'Recommended Investment Tenure'. This tenure for each of the investments depicts a typical cycle time for the specific investment. So, before you invest in any of these investments, be prepared to leave your investment for the specified recommended time period so that you can optimize your returns from the same.